- 56 lakh of the Prime Minister: 'The Prime Minister's speech referred to the increase in number of e-filed Personal Income Tax Returns filed from 1 April 2017 to 5 August 2017 over the ITR filed in corresponding period of earlier years. The data maintained by the IT Department shows that during 1 April 2017 to 5 August 2017, 2.79 crore e-returns of individual tax payers were received as against 2.23 crore e-returns received during 1st April 2016 to 5th August 2016. Thus, the additional ITR received in 2017 works out to be 56 lakh. During the same period of 2015, 2.00 crore e-returns were received, meaning thereby, that in 2016, only 22 lakh (rounded off) additional e-returns were received by the due date of filing.'

Given that the Prime Minister had clearly talked of new tax payers and not e-returns, this too did not reflect well on the authorities. In any case, given that the filing of e-returns has been mandatory since AY 2013–14,[36] this clarification in itself made little sense.

Furthermore, on 22 April 2016, the Central Board of Direct Taxes (CBDT) released circular F No 309/11/2016-OT, defining the terms 'New Tax Base', 'New Taxpayer added' and 'Tax Payer' and recommended 'these standard definitions be adopted for the purpose of generating relevant statistics, as also for reporting to Parliamentary Committees and various outside agencies.' It is a mystery why the government did not use these guidelines, which could have saved both the Finance Minister and the Prime Minister needless embarrassment.

So, what was the real number of new tax payers added as a result of demonetization? The Economic Survey is undoubtedly the most reliable estimate, namely 5.4 lakh new tax payers. The comments in the Economic Survey are even more revealing than the number itself:

Para 1.86 of the survey states, 'The growth of tax payers post-demonetization amounted to about 5.4 lakh tax payers or one per cent of all individual tax payers in just a few months. The addition to the reported taxable income (of these new payers) was about ₹10,600